DEFINITIONS · 1

Title Insurance

ANSWER · 1

Insuring, guaranteeing, or indemnifying owners of real property against loss or damage suffered by reason of liens or encumbrances upon, defects in, or the unmarketability of the title to said property.

DEFINITIONS · 2

Business of Title Insurance

ANSWER · 2

The making of any contract or policy of title insurance AND the performance of closing and settlement services in conjunction with the issuance of any policy of title insurance.

DEFINITIONS · 3

Title Insurance Agent

ANSWER · 3

A person authorized by a title insurance company to solicit insurance, collect premiums, or to issue or countersign policies on its behalf.

DEFINITIONS · 4

Title Insurance Agency

ANSWER · 4

A corporation, partnership, association, or other legal entity that transacts the business of title insurance.

DEFINITIONS · 5

Title Insurance Company

ANSWER · 5

Has the power to insure titles to real property. May be domestic, foreign, or alien. Domestic = incorporated/formed in this state. Foreign = formed by authority of any other U.S. state or government. Alien = incorporated/organized under the laws of a foreign nation.

DEFINITIONS · 6

Title Entity

ANSWER · 6

Title insurance agents, title insurance agencies, AND title insurance companies — collectively.

DEFINITIONS · 7

Insurance Producer or Producer

ANSWER · 7

A person who solicits, negotiates, effects, procures, delivers, renews, continues, or binds policies of insurance for risks in this state.

DEFINITIONS · 8

Applicant

ANSWER · 8

All those who apply for title insurance, whether or not a prospective insured.

DEFINITIONS · 9

Rate or Premium

ANSWER · 9

The amount charged for insurance. Includes the risk assumed, the cost of doing business, and a reasonable profit. Does NOT include the service charge.

DEFINITIONS · 10

Service Charge

ANSWER · 10

The amount charged to cover the cost of procuring and examining evidence of title.

DEFINITIONS · 11

Fee

ANSWER · 11

The amount OTHER than the rate charged by a title entity for services performed pursuant to the business of title insurance.

DEFINITIONS · 12

Justification

ANSWER · 12

Information that establishes the rate or fee is not excessive, inadequate, or unfairly discriminatory. Must qualify, quantify, and demonstrate the facts and figures to substantiate a proposed rate or fee.

DEFINITIONS · 13

Closing and Settlement Services

ANSWER · 13

Providing services for all necessary parties in connection with the sale, leasing, or encumbering of real property, including receipt and disbursement of money.

DEFINITIONS · 14

Settlement Services

ANSWER · 14

Any service provided in connection with real estate settlement — title searches, examination, title certificates, title insurance, attorney services, document prep, surveys, credit reports, appraisals, pest/fungus inspections, real estate broker services, home inspection services, loan origination/processing, and escrow/closing services.

DEFINITIONS · 15

Closing Instructions / Written Instructions

ANSWER · 15

A document, signed by one or more parties to a title insurance transaction, which purports to direct a title entity in the completion of settlement services.

DEFINITIONS · 16

Generic Exceptions

ANSWER · 16

Broad exceptions on a commitment or policy of title insurance that do NOT refer to a specific document or recording information, and are not standard/preprinted or specific exceptions. These are prohibited on an Owner's Policy commitment.

DEFINITIONS · 17

Specific Exception

ANSWER · 17

Exceptions that are known impairments for the subject property, but the impairment does not appear in a reasonable examination of the property records for the property being insured.

DEFINITIONS · 18

Standard or Preprinted Exceptions

ANSWER · 18

Exceptions on title commitments and policies dealing with parties in possession, survey matters, mechanic's liens, unpatented mining claims, patented/unpatented mineral reservations, water rights, mineral rights, mineral leases, mineral grants, taxes, and rights or encumbrances.

DEFINITIONS · 19

Gap Coverage

ANSWER · 19

Insuring against loss or damage suffered due to matters appearing of record in the clerk & recorder's office subsequent to the date of a title insurance commitment and prior to the date of recording of closing documents.

DEFINITIONS · 20

Fair Market Value

ANSWER · 20

A price that represents the value of a product or service being provided, which must include cost AND profit.

DEFINITIONS · 21

Ownership and Encumbrance Report (O&E)

ANSWER · 21

Information identifying the last recorded owner, legal description, and recorded unreleased deeds of trust or mortgages of a particular parcel of real property, available from public records.

DEFINITIONS · 22

TBD Commitment

ANSWER · 22

A report, in the form of a commitment, furnished PRIOR to receipt of an application for title insurance — the buyer, sales amount, and loan amount, among other possible details, are not yet known.

DEFINITIONS · 23

Examination

ANSWER · 23

A formal financial examination, as well as informal examinations, conducted by the Commissioner for the purpose of determining compliance with the law.

DEFINITIONS · 24

NAIC

ANSWER · 24

The National Association of Insurance Commissioners — the organization of insurance regulators from the fifty states, the District of Columbia, and the four United States territories.

DEFINITIONS · 25

Settlement Producer

ANSWER · 25

A person in a position to refer business incident to or a part of a settlement service. Includes anyone who buys/sells an interest in real property, lends/borrows money secured by real property, acts as an agent/representative/attorney/employee of such a person, or is an associate (spouse, parent, child, controlled business, employer, officer, director, partner) of a settlement producer.

DEFINITIONS · 26

Remuneration

ANSWER · 26

ANY type of payment or compensation.

DEFINITIONS · 27

Reconcile

ANSWER · 27

The accounting process of comparing transactions and activity in order to balance accounts and resolve any discrepancies in an amount that exceeds $500.00.

DEFINITIONS · 28

Affiliated Business Arrangement

ANSWER · 28

An arrangement in which a settlement producer has either an affiliate relationship with, or a direct beneficial ownership interest in, a title insurance company or title insurance agent, and directly or indirectly refers settlement service business to that company or agent.

DEFINITIONS · 29

Controlled Business

ANSWER · 29

Insurance procured or to be procured by/through a person upon: (1) their own life, person, property, or risks, or those of their spouse; or (2) the life, person, property, or risks of the person's employer or their own business.

YOUR OWN CARD

ANSWER

YOUR OWN CARD

ANSWER

YOUR OWN CARD

ANSWER

RATES, PRACTICES, PROTECTIONS & LICENSING · 1

Rate Filing Requirements

ANSWER · 1

Must be filed electronically with the Commissioner; must not be excessive, inadequate, or unfairly discriminatory; must be supported by justification (data); must state an effective date no earlier than 30 days after receipt by the Commissioner; must charge the rate/fee on file and in effect when the order is received; cannot use a rate before its effective date; must be readily available to the public in each office.

RATES, PRACTICES, PROTECTIONS & LICENSING · 2

Closing/Settlement Fees vs. Title Insurance Premiums

ANSWER · 2

Closing/Settlement Fees = expense + profit. Title Insurance Premiums = expense + expected LOSS + profit. (The extra "expected loss" component is what distinguishes the premium.)

RATES, PRACTICES, PROTECTIONS & LICENSING · 3

Volume Discounts

ANSWER · 3

Different rates MAY be filed for different counties, but NOT for different risks within the same county. It is anticompetitive behavior to attempt to monopolize the business of insurance or restrain trade by conspiring to set rates.

RATES, PRACTICES, PROTECTIONS & LICENSING · 4

Prohibited Practices — a title company or agent shall NOT… (1 of 2)

ANSWER · 4

(1) Guarantee payment of bonds/notes/obligations. (2) Issue any insurance other than title insurance. (3) Give or receive remuneration for the REFERRAL of title business. (4) Give/receive any portion of a charge for services not actually rendered. (5) Engage in rating practices leading to excessive/inadequate/unfair rates. (6) Commingle fiduciary funds with other monies/assets. (7) Disburse funds before all conditions are met. (8) Furnish a TBD Commitment without charge. (9) Pay a title insurance cancellation fee for a settlement producer.

RATES, PRACTICES, PROTECTIONS & LICENSING · 5

Prohibited Practices — a title company or agent shall NOT… (2 of 2)

ANSWER · 5

(10) Pay/furnish/subsidize salary or services for a settlement producer except for services actually rendered. (11) Charge less than the scheduled rate/fee, or waive it. (12) Subsidize O&E Reports, farm packages, or info kits. (13) Design/produce/distribute marketing materials for a settlement producer below fair market value. (14) Contribute fees, prizes, gifts, or other value to a settlement producer. (15) Enter a marketing arrangement (Marketing Service Agreement) with a settlement producer.

RATES, PRACTICES, PROTECTIONS & LICENSING · 6

What a Title Entity MAY Do (1 of 2)

ANSWER · 6

Issue a TBD Commitment or O&E Report for the charge on file at the Division; provide one free copy of the last recorded vesting deed; issue a closing protection letter for the filed charge; engage in normal promotional/educational activity not conditioned on referrals; make charitable donations made directly to the charity; pay for business meals/sporting events if at least 1 title producer attends per 4 settlement producers …

RATES, PRACTICES, PROTECTIONS & LICENSING · 7

What a Title Entity MAY Do (2 of 2)

ANSWER · 7

… sponsor educational courses (1+ hour) related to title/real estate/mortgages; attend trade association events under fair-market conditions; buy coffee/donuts/bagels for settlement producers only when a title producer is present to promote the business.

RATES, PRACTICES, PROTECTIONS & LICENSING · 8

Notify the Division Within 30 Days If…

ANSWER · 8

(1) A title agent fails to remit premiums within 45 days of the contractual due date. (2) A title agent fails to reconcile its escrow account every 45 days. (3) There's an escrow shortage of more than $10,000. (4) A repayment agreement is put in place for remittance/other obligations. (5) A title agent has commingled fiduciary funds. (6) A title company authorizes, cancels, or suspends a title agent.

RATES, PRACTICES, PROTECTIONS & LICENSING · 9

Title Commitment Requirements (Consumer Protections)

ANSWER · 9

Must perform a reasonable examination of title; clearly disclose the terms on which title will be insured; disclose the record vested owner per county records; NOT contain generic exceptions in an Owner's Policy commitment; be updated prior to closing; include Gap Disclosure, Mechanic's Lien Disclosure, and Special Taxing District Disclosure; provide coverage for matters of record prior to the recording date (Gap Coverage) in an Owner's Policy; record documents within 7 days of closing; issue the final policy within 90 calendar days of closing.

RATES, PRACTICES, PROTECTIONS & LICENSING · 10

Mineral Estate Disclosure

ANSWER · 10

A title commitment for an Owner's Policy must provide disclosure when a mineral estate has been severed, leased, or conveyed from the surface estate.

RATES, PRACTICES, PROTECTIONS & LICENSING · 11

Complaints to the Division

ANSWER · 11

It is the Commissioner's duty to investigate information presented. If the Commissioner believes a violation exists, the matter may be referred to the District Attorney or the Attorney General.

RATES, PRACTICES, PROTECTIONS & LICENSING · 12

Retention of Records / Response to Division Inquiries

ANSWER · 12

Closing/settlement/escrow files retained for 7 years; must retain all records needed to reconstruct claims processing/adjustment/settlement; must retain a record of all policies issued and producer licensing records; must respond to an Examination request within 10 calendar days, and to an Inquiry within 20 calendar days. Failure to respond can trigger a $500 fine, rising up to $5,000 for each subsequent violation.

RATES, PRACTICES, PROTECTIONS & LICENSING · 13

Closing Instructions

ANSWER · 13

Written closing instructions must be received from all parties to the transaction. Must comply with the "good funds" law — closing funds must be available for immediate withdrawal prior to disbursement.

RATES, PRACTICES, PROTECTIONS & LICENSING · 14

Search and Examination

ANSWER · 14

Must conduct a reasonable examination of title, and must make a determination of insurability of title in accordance with sound underwriting practices.

RATES, PRACTICES, PROTECTIONS & LICENSING · 15

Privacy Notices

ANSWER · 15

Must provide a clear and conspicuous privacy notice, and must establish standards for administrative, technical, and physical safeguards to protect the security, confidentiality, and integrity of customer information, pursuant to the Gramm-Leach-Bliley Act.

RATES, PRACTICES, PROTECTIONS & LICENSING · 16

Commissioner — Power and Duties (1 of 2)

ANSWER · 16

Heads the Division of Insurance; appointed by the Governor, confirmed by the Senate; supervises the business of insurance; issues certificates of authority to title insurance companies (domestic, foreign, or alien); examines all license requests/applications; reviews insurers' annual statements; conducts examinations and investigations ...

RATES, PRACTICES, PROTECTIONS & LICENSING · 17

Commissioner — Power and Duties (2 of 2)

ANSWER · 17

... disseminates general insurance info to the public; adopts rules to ensure financial solvency and a competitive marketplace; conducts Market Conduct Exams as often as deemed appropriate; conducts Financial Exams at least once every 5 years, per NAIC and the Colorado insurance examiner's handbook.

RATES, PRACTICES, PROTECTIONS & LICENSING · 18

Commissioner — Hearings and Penalties

ANSWER · 18

May place a producer on probation; suspend, revoke, or refuse to issue/continue/renew a license; order restitution; or assess a civil penalty. Producer is entitled to notice and a hearing first. Penalty for a general violation: up to $3,000/violation (cap $30,000) — or up to $30,000/violation (cap $750,000) if the violator knew or reasonably should have known. Penalty for violating a cease-and-desist order: $10,000/violation for an insurer, $500/violation for an individual. Final Commissioner action is subject to judicial review.

RATES, PRACTICES, PROTECTIONS & LICENSING · 19

License Suspension/Revocation Grounds

ANSWER · 19

Any incorrect, misleading, incomplete, or materially untrue application info; violation of any insurance law/rule/order/subpoena; misrepresentation or fraud in the application; misappropriating client money/property; a felony or moral-turpitude misdemeanor conviction; refusal to cooperate with an examination; unfair or deceptive trade practices; cheating on the exam; failing to pay court-ordered child support; failing to pay income tax.

RATES, PRACTICES, PROTECTIONS & LICENSING · 20

Records and Requests for Information

ANSWER · 20

A title entity must maintain records and provide timely, convenient, and FREE access to information requested.

RATES, PRACTICES, PROTECTIONS & LICENSING · 21

Persons Required to be Licensed

ANSWER · 21

A license is required for anyone who sells, solicits, or negotiates insurance. Individual applicants must be at least 18, pass the title producer exam, pay the prescribed license fee, and be competent, trustworthy, of good moral character and good business reputation. Colorado requires NO prelicensure education and NO continuing education for a title insurance producer license — unlike most other insurance lines.

RATES, PRACTICES, PROTECTIONS & LICENSING · 22

Payment and Acceptance of Commissions/Fees

ANSWER · 22

A producer must be duly licensed BEFORE a commission based on the sale of insurance is paid. A commission cannot be paid for the REFERRAL of business — only for services actually rendered.

RATES, PRACTICES, PROTECTIONS & LICENSING · 23

Fiduciary / Commingling Rules

ANSWER · 23

All funds received by a producer are held in a fiduciary capacity. Fiduciary funds must be kept in an account SEPARATE from other monies/assets of the title entity, and can't be commingled with operating or personal accounts. Premiums are held in trust until remitted to the insurer, within 45 days of receipt (or the contracted time). All fiduciary funds must be deposited within 3 business days of receipt, and accounts must be reconciled at least every 45 days.

RATES, PRACTICES, PROTECTIONS & LICENSING · 24

Unauthorized Entities

ANSWER · 24

No producer may solicit, negotiate, or sell insurance for any line they're not qualified/licensed for. The Commissioner may issue an emergency cease-and-desist order and obtain a court order to enjoin and restrain an unauthorized company from doing business in the state. Failure to obtain a certificate of authority does NOT impair the validity of the contract.

RATES, PRACTICES, PROTECTIONS & LICENSING · 25

Change of Address / Assumed Names

ANSWER · 25

A producer must notify the Commissioner of an address change within 30 days after the change (penalty possible for failure). Any assumed or fictitious business name must be registered with the Commissioner before use. Must also notify the Commissioner of a legal name change, or the change/removal of a trade name.

RATES, PRACTICES, PROTECTIONS & LICENSING · 26

Firm Naming Rule

ANSWER · 26

No title insurance agency may adopt a firm name containing the words "title insurance," "title guaranty," or "title guarantee" — UNLESS those words are followed by "agent" or "agency."

RATES, PRACTICES, PROTECTIONS & LICENSING · 27

Responsible Producer

ANSWER · 27

A title insurance agency must designate a licensed producer (an officer, partner, or director) who is responsible for the agency's compliance with the insurance laws and rules of Colorado.

RATES, PRACTICES, PROTECTIONS & LICENSING · 28

Agency Licensing Requirements

ANSWER · 28

To obtain a license, an entity must: disclose all officers, partners, and directors to the Commissioner; those individuals must be trustworthy, of good moral character, and good business reputation; have at least $10,000 of cash capital or net worth; pay the license fee; register at least one individual holding a valid producer license; register EACH person licensed and acting as a producer.

RATES, PRACTICES, PROTECTIONS & LICENSING · 29

Coercion (Unfair Competition)

ANSWER · 29

Entering into any agreement to commit an act of boycott, coercion, or intimidation resulting in — or tending to result in — unreasonable restraint of, or a monopoly in, the business of insurance. Also prohibited: requiring the use of a particular insurer as a condition precedent to lending money.

RATES, PRACTICES, PROTECTIONS & LICENSING · 30

Misrepresentation (Unfair Competition)

ANSWER · 30

Any publication, sales presentation, or comparison which misrepresents the benefits, advantages, conditions, or terms of any insurance policy; or misrepresents any insurance policy as being a security.

RATES, PRACTICES, PROTECTIONS & LICENSING · 31

Unfair Discrimination

ANSWER · 31

Insurance companies cannot unfairly discriminate between individuals of the same class, or between neighborhoods within a municipality of essentially the same hazard — the same rates and coverages must be offered.

RATES, PRACTICES, PROTECTIONS & LICENSING · 32

Controlled Business (Licensing Restriction)

ANSWER · 32

No producer license may be granted or extended if it's being/will be used for the purpose of writing controlled business — meaning the aggregate premiums written on controlled business EXCEED the aggregate premiums written on all other insurance business within a 12-month period.

RATES, PRACTICES, PROTECTIONS & LICENSING · 33

Affiliated Business Arrangements (ABAs)

ANSWER · 33

Distinct from controlled business, and permitted where the referring investor's payment is ONLY a return on investment (not tied to referral volume). Ownership interest can't be conditioned on referral volume; nothing of value can be paid directly for a referral; the cost of ownership opportunity must be equivalent for all investors; a formal business plan is required; and an ABA disclosure is required.

RATES, PRACTICES, PROTECTIONS & LICENSING · 34

Sham ABA Factors the Division Considers (1 of 2)

ANSWER · 34

Is there a good-faith effort to comply with insurance laws; does the title entity maintain a separate, distinct, verifiable physical location (clearly/conspicuously identified, independently locked/secured, directly accessible to the public without entering another title entity's primary workspace); is minimal capitalization established/maintained ...

RATES, PRACTICES, PROTECTIONS & LICENSING · 35

Sham ABA Factors the Division Considers (2 of 2)

ANSWER · 35

... how are employees paid (W-2s issued, does the title entity control the employee, per-hour vs. per-transaction pay, is the employee physically located in the title entity's office); does the title entity perform CORE title services itself; has the title entity contracted out its core title/settlement services to other sources.

RATES, PRACTICES, PROTECTIONS & LICENSING · 36

Defamation

ANSWER · 36

Making, publishing, disseminating, or circulating any oral or written statement that is FALSE, or maliciously critical or derogatory to the financial condition of any person, and which is calculated to INJURE that person.

RATES, PRACTICES, PROTECTIONS & LICENSING · 37

Rebates/Remuneration (Prohibited Inducements)

ANSWER · 37

Offering to pay any rebate of premiums, or any valuable consideration, or anything of value not plainly expressed in the insurance contract, as an INDUCEMENT to purchase insurance. A title entity also may not: guarantee payment of bonds/notes/other obligations; transact, underwrite, or issue any insurance other than title insurance; or give remuneration in any form for the referral of title insurance business.

RATES, PRACTICES, PROTECTIONS & LICENSING · 38

Unfair Claims Settlement Practices (1 of 2)

ANSWER · 38

Misrepresenting pertinent facts or policy provisions relating to coverage at issue; failing to acknowledge/act reasonably promptly on communications; failing to adopt/implement reasonable standards for prompt claims investigation; refusing to pay claims without a reasonable investigation; failing to affirm/deny coverage within a reasonable time after proof of loss; not attempting in good faith to effectuate prompt, fair, and equitable settlements once liability is reasonably clear ...

RATES, PRACTICES, PROTECTIONS & LICENSING · 39

Unfair Claims Settlement Practices (2 of 2)

ANSWER · 39

... compelling insureds to litigate by offering substantially less than what's ultimately recovered; making claims payments without a statement of the coverage under which they're paid; failing to promptly give a reasonable explanation for denying a claim or offering a compromise settlement.

YOUR OWN CARD

ANSWER

CURATIVE STATUTES (A–Z) · 1

A. Acknowledgement (Defective) — CRS 38-35-106

ANSWER · 1

10 Years

CURATIVE STATUTES (A–Z) · 2

B. Adverse Possession, possession only — CRS 38-41-101

ANSWER · 2

18 Years

CURATIVE STATUTES (A–Z) · 3

C. Adverse Possession, under color of title — CRS 38-41-106, 108, 109, 111, 112

ANSWER · 3

7 Years

CURATIVE STATUTES (A–Z) · 4

D. Attachment Lien — CRS 13-56-103

ANSWER · 4

6 Years

CURATIVE STATUTES (A–Z) · 5

E. US Attachment Lien — 28 USC 3102(f)(3)

ANSWER · 5

No Term

CURATIVE STATUTES (A–Z) · 6

F. City Liens (cannot be foreclosed out) — CRS 31-15-401(c)

ANSWER · 6

No Term

CURATIVE STATUTES (A–Z) · 7

G. Claims Against Decedent — CRS 15-12-801

ANSWER · 7

1 Year

CURATIVE STATUTES (A–Z) · 8

H. Purchase Land Contracts — CRS 15-12-801

ANSWER · 8

10 Years

CURATIVE STATUTES (A–Z) · 9

I. Official Deeds — CRS 38-41-111

ANSWER · 9

9 Years

CURATIVE STATUTES (A–Z) · 10

J. Treasurer's Deeds — CRS 39-12-104

ANSWER · 10

9 Years

CURATIVE STATUTES (A–Z) · 11

K. Recitals in Deeds accepted — CRS 39-38-107

ANSWER · 11

20 Years

CURATIVE STATUTES (A–Z) · 12

L. Deeds of Trust — no due date — CRS 38-39-201

ANSWER · 12

15 Years

CURATIVE STATUTES (A–Z) · 13

M. Execution Lien — CRS 13-56-103

ANSWER · 13

6 Years

CURATIVE STATUTES (A–Z) · 14

N. U.S. Execution Lien — 28 USC 3203(b)

ANSWER · 14

20 Years

CURATIVE STATUTES (A–Z) · 15

O. Federal Tax Lien — 26 USC 6323(g)

ANSWER · 15

10 Years

CURATIVE STATUTES (A–Z) · 16

P. Judgment Lien — CRS 13-52-102(1)

ANSWER · 16

6 Years

CURATIVE STATUTES (A–Z) · 17

Q. U.S. Judgment Lien — 28 USC 3201

ANSWER · 17

20 Years

CURATIVE STATUTES (A–Z) · 18

R. Judgment Lien, False Report — CRS 13-52-102(4)

ANSWER · 18

1 Year

CURATIVE STATUTES (A–Z) · 19

S. Judgment Lien, Child Support — CRS 13-52-102(1)

ANSWER · 19

20 Years

CURATIVE STATUTES (A–Z) · 20

T. Certificate of Levy — CRS 13-56-103

ANSWER · 20

6 Years

CURATIVE STATUTES (A–Z) · 21

U. Lis Pendens — CRS 13-56-103

ANSWER · 21

6 Years

CURATIVE STATUTES (A–Z) · 22

V. Mechanic's Liens — CRS 38-22-109(8)

ANSWER · 22

13 Months

CURATIVE STATUTES (A–Z) · 23

W. Mineral Lease, no affidavit of production — CRS 38-42-106

ANSWER · 23

6 Months

CURATIVE STATUTES (A–Z) · 24

X. Name Variations — CRS 38-35-116(2)

ANSWER · 24

20 Years

CURATIVE STATUTES (A–Z) · 25

Y. Option to Purchase — CRS 38-35-111

ANSWER · 25

1 Year

CURATIVE STATUTES (A–Z) · 26

Z. Quiet Title Decree — Rule 60(b) CRCP

ANSWER · 26

6 Months

YOUR OWN CARD

ANSWER

YOUR OWN CARD

ANSWER